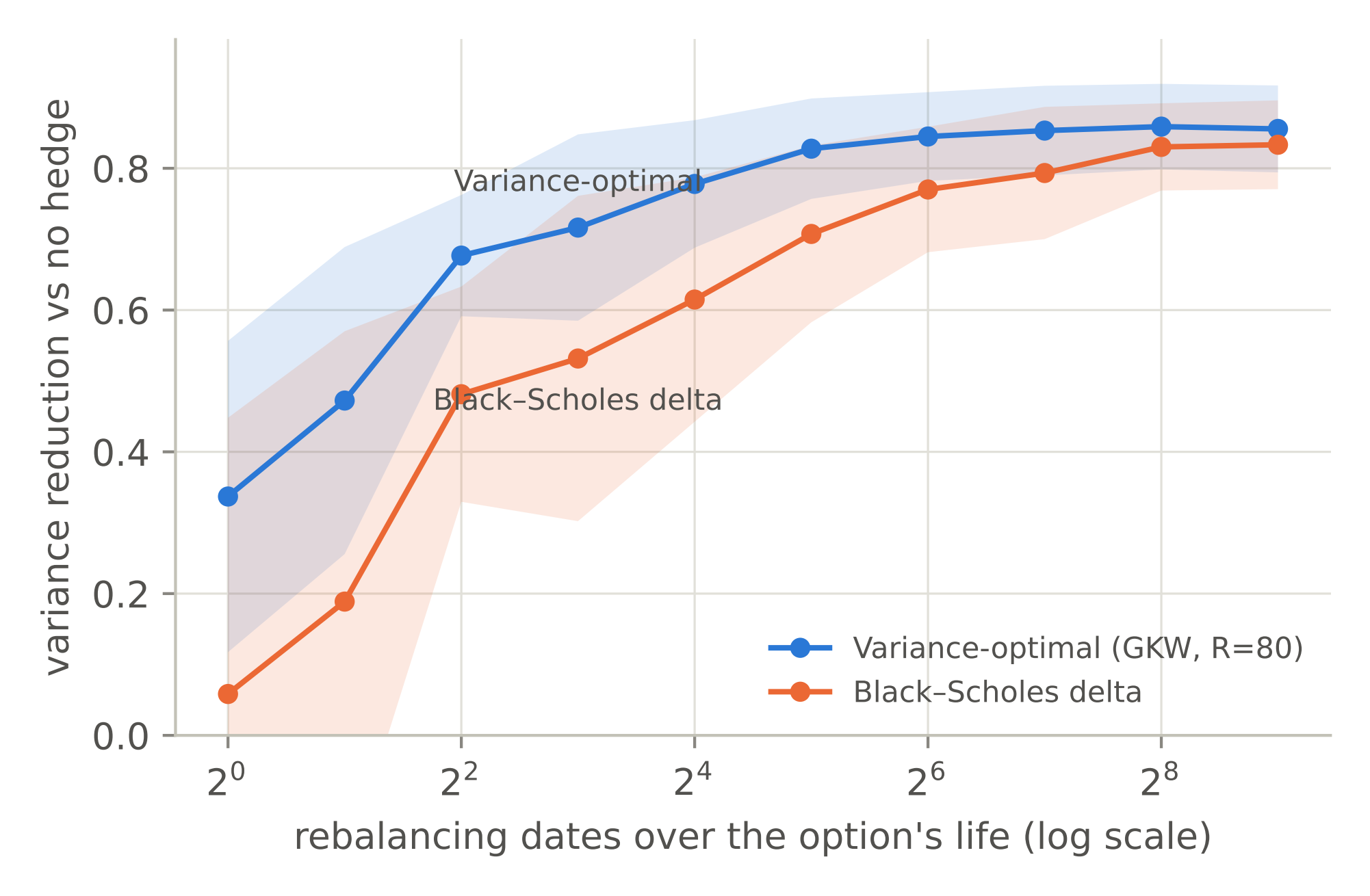
variance reduction vs no hedge
0.0
0.2
0.4
0.6
0.8
2^0
2^2
2^4
2^6
2^8
rebalancing dates over the option's life (log scale)
Variance-optimal
Black–Scholes delta
Variance-optimal (GKW, R=80)
Black–Scholes delta